

Constitution Of India- Module 5

Sole Proprietorship? Discuss its characteristics.

General Idea:

Sole Proprietorship is the oldest and functioning from times immemorial in one form or the other.

Sole means individual and this proprietorship suggest business owned or controlled by one man with or without the help of family members or few employees.

Formal Definition:

“Individual entrepreneurship is the form of business organisation at the head of which stands an individual as the one who is responsible, who directs its operations and who alone runs the risk of failure”.By L.H.Haney

According to James Stephenson, “A sole trader is a person who carries on business exclusively by and for himself.”

Characteristics:

1. Sole Proprietorship:

- The individual carries on business exclusively by and for himself.
- He invests his own capital and controls the whole business.
- He bears all the risks and is the master of all the profits.

2. Free from Legal Formalities:

- A sole trader business is not expected to meet any legal requirement.
- A sole trader may engage in any business unless licence is required under law.

3. Unlimited Liability:

- In sole trade business, liability is unlimited.
- The proprietor bears all the losses arising from the business.
- His private property is also liable for the business obligations.

4. Sole Management:

- The sole trader manages the whole business himself.
- He prepares the plans and executes them under his own supervision.
- He is not required to consult anyone else in taking decisions.
- The ultimate authority to manage and control rests with the proprietor.

5. Secrecy:

- All the decisions are taken by the proprietor himself. He is in a position to keep his affairs to himself and maintain perfect secrecy in all matters.

6. Freedom regarding Selection of Business:

- A sole trader is at freedom to select any business of his choice. He is independent.

The advantages and disadvantages of Sole Proprietorship.

Advantages:

- It's simple and affordable
- Sole proprietors can employ others and grow their business. Sole proprietorships can hire others and enjoy the tax benefits from doing so.
- Operating freedom and flexibility
- Owners have complete and direct control over all decision making because it's one man army.

- **Disadvantages:**

- Owners are fully liable.
- Self-employment taxes apply to sole proprietorships.
- Raising capital is difficult
- It's Harder to Sell Your Business. Since a sole proprietorship is attached to an individual by nature, it's all but impossible to sell or hand down your business to someone else.

The different kinds of meetings and their proceedings.

There are 4 types of meetings

1. General Meetings

a. Statutory General Meeting

b. Annual General Meeting

c. Extraordinary General Meeting

2. Meetings of Creditors Debenture-holder's

3. Class Meeting

4. Meetings of Board of Directors

Statutory General Meetings

1. A public limited company having share capital is required to hold a statutory meeting.
2. Such a statutory meeting is held only once in the lifetime of the company.
3. Such a meeting must be held within a period of not less than one month or within a period not more than six months from the date on which it is entitled to commence business i.e. it obtains certificate of commencement of business.

Annual General Meeting

1. Must be held by every type of company, public or private once a year.
2. Not more than 15 months must elapse between two AGMs.
However, a company may hold its first annual general meeting within 18 months from the date of its incorporation.
3. A notice of at least 21 days before the meeting must be given to members unless consent is accorded to a shorter notice by members, holding not less than 95% of voting rights in the company.
4. The notice of the meeting must be accompanied by a copy of the annual accounts of the company, director's report on the position of the company for the year and auditor's report on the accounts.

5. The notice must state that the meeting is an annual general meeting. The time, date and place of the meeting must be mentioned in the notice.

6. The AGM must be held on a working day during business hours at the registered office of the company or at some other place within the city, town or village in which the registered office of the company is situated.

Extra Ordinary General Meetings

1. Every general meeting (i.e. meeting of members of the company) other than the statutory meeting and the annual general meeting or any adjournment thereof, is an extraordinary general meeting.

2. Such meeting is usually called by the Board of Directors for some urgent business which cannot wait to be decided till the next AGM.

3. Every business transacted at such a meeting is special business.

4. An explanatory statement of the special business must also accompany the notice calling the meeting.

Debentures Holder's Meeting

1. A company issuing debentures may provide for the holding of meetings of the debenture holders.

2. At such meetings, generally any matters pertaining to the variation in terms of security or to alteration of their rights are discussed.

3. All matters connected with the holding, conduct and proceedings of the meetings of the debenture holders are normally specified in the Debenture Trust Deed.

4. The decisions at the meeting made by the prescribed majority are valid and lawful and binding upon the minority.

Creditors Meetings

1. Sometimes, a company, either as a running concern or in the event of winding up, has to make certain arrangements with its creditors. Meetings of creditors may be called for this purpose. E.g. in case of winding up of a company, a meeting of creditors and of contributories is held to ascertain the total amount due by the company and also to appoint a liquidator to wind up the affairs of the company.

Class Meetings

1. Class meetings are meetings which are held by holders of a particular class of shares, e.g., preference shareholders.
2. Such meetings are normally called when it is proposed to vary the rights of that particular class of shares.
3. At such meetings, these members discuss the pros and cons of the proposal and vote accordingly.
4. Class meetings are held to pass resolution which will bind only the members of the class concerned, and only members of that class can attend that meeting.

Meeting of Board of Directors

Notice: Notice of every meeting of the board of directors of company has to be sent to all the directors at their usual address in India. Failure to do so will render the resolutions passed at such meeting, null and void.

Quorum: The quorum for a meeting of the board of directors of company shall be one-third of its total strength or two directors whichever is higher. If the meeting cannot be held for want of quorum it stands adjourned till the same day of the next week at the same time and place.

Every meeting of the board must have a chairman to preside over it. The articles usually name the chairman who shall preside over the board meeting. If the articles do not name the chairman, the director may elect a chairman of the meeting.

What is the Memorandum of Association? Explain the contents of Memorandum of Association.

Answer: One of the most essential documents in the formation of a company is Memorandum of Association or MoA. It shows the main objectives of the company and its goals in the long term.

The MoA regulates the incorporated company activities such that it can undertake activities that are mentioned in MoA.

The number of persons signing the form varies as per the type of company (seven in case of public company while two members for private). The main clauses of MoA can be as follows:

1. **Name**: It should include the name of the company that has been approved by the registrar of companies.
2. **Registered Office**: The clause mentions address and name of the company in which it is situated. Name giving is not mandatory, but it is essential to submit a company name within 30 days of its incorporation.
3. **Objects clause**: Most important clause while filling MoA is it defines the objectives for which a company is raised. Any activity cannot be undertaken that is not stated in objects clause.
There are two types of object clauses namely, main objects and other objects.
4. **Liability clause**: This clause is all about liability of each shareholder as per amount invested by them or the shares they own.
5. **Capital Clause**: It refers to the clause of raising authorized capital by issuing of shares
6. **Association clause**: It contains the statement by those who sign the MoA and who accept MoA and also the consent of buying qualification shares.

Difference between Private and Public Limited Company.

Public Limited Company	Private Limited Company
The public company refers to a company that is listed on a recognised stock exchange and traded publicly.	A Private Ltd. the company is one that is not listed on a stock exchange and is held privately by the members.
There must be at least seven members to start a public company.	The private company can be started with a minimum of two members.
There is no limit on the maximum number of members in a public company.	a private company can have a maximum of 200 members, subject to certain conditions.
A public company should have at least three directors	the Private Ltd. company can have a minimum of 2 directors.

It is compulsory to call a statutory general meeting of members, in the case of a public company.	There is no such compulsion in the case of a private company.
The issue of prospectus/statement instead of the prospectus is mandatory in case of a public company	The issue of prospectus/statement instead of the prospectus is not required in a private company
To start a business, the public company needs a certificate of commencement of business after it is incorporated.	a private company can start its business just after receiving a certificate of incorporation.
The shareholders of a public company can freely transfer their shares.	The transferability of shares of a Pvt. Ltd. company is completely restricted
A public company can invite the general public for subscribing shares of the company.	A private company has no right to invite the public for subscription.

Explain the role of engineers in E-Governance.

Answer:

General Perspective

The role of engineering has suffered many changes over the last few decades, although its concept which is based on trial and error has remained an essential element of the scientific-technological method; where social, environmental and human factors define the most suitable solution to manage a particular issue. Thus, the engineer's role is continuing reshaped according to the new challenges and necessities implicated by specialized disciplines on the areas of E-governance. The role of engineers in the field of E-governance is focus on identifying the needs of the public and to design the process which is more user friendly, secured and fast. Some of the guiding principles for reforming E - governance with the help of technology are:

- Form simplification and field reduction — Forms should be made simple and user friendly and only minimum and necessary information should be collected.
- Online applications and tracking - Online applications and tracking of their status should be provided.

- Online repositories - Use of online repositories e.g., for certificates, educational degrees-, identity documents, etc. should be mandated so that citizens are not required to submit these documents in physical form.
- Integration of services and platforms — Integration of services and platforms e.g., Aadhaar platform of Unique Identity Authority of India (UIDAI), payment gateway, Mobile Seva platform, sharing of data through open Application Programming Interfaces (API) and middleware such as National and State Service Delivery Gateways (NSDG/SSDG) should be mandated to facilitate integrated and interoperable service delivery to citizens and businesses.
- Databases and information in electronic form - The workflow inside government departments and agencies should be automated to enable efficient government processes and also to allow visibility of these processes to citizens. IT should be used to automate respond and analyse data to identify and resolve persistent problems . these would be largely process improvements.

• Qualifications required to be an Auditor of Company

According to the provision in Section 226 of the Companies Act, According to the provision of Chartered Accountants Act, 1949, a person, who is a member of the “Institute of Chartered Accountants of India” qualified and can be appointed as an Auditor of the Company.

- Any firm whose all partners are qualified and practicing Chartered Accountants and those who possess the above mentioned eligibility such firm can practice in the name of the firm.
- A person holding a certificate under “Restricted Auditor’s Certificate” (Part B State) Rules, 1956 is also qualified to act as auditor of a Company.
- What are the duties and responsibilities of a Director?
- **Answer:**
- **Powers of Directors**
- 1. Issue Debentures

- 2. Borrow Money
- 3. Invest Funds
- 4. Market
- 5. Loans

RIGHTS

- 1. To take part in meetings of board and in the affairs of the corporation.
- 2. Right of Remuneration
- 3. Compensation in case of premature termination of services.

- **DUTIES**

- 1. Distribute Work On Business Lines Act In GOOD FAITH
- 2. Exercise Reasonable Care
- 3. Must Exercise that skill which is reasonably expected of him
- 4. Attend Meeting

The Legal Position of a Director.

1. **Directors are trustees** of the company's money and property. They safeguard them and use them for and on behalf of the company.

2. **The position of director is like an agent.** They have to function as per the provisions contained in the Articles of the company and the Company Law. Their actions are not their personal transactions, but they are the transactions done for and on behalf of the company. Therefore, they cannot be sued for the all intra vires acts(within the powers) done by them on behalf of the company

3. **Director as Partner** Directors held shares. The members of the company also hold shares. The directors work as the representatives of the members. Thus, they are liked partners of the members of the company.

What is Partnership? Discuss its characteristics.

Answer: A **partnership** is an unincorporated association of two or more individuals to carry on a business for profit. Many small businesses, including retail, service, and professional practitioners, are organized as partnerships. A type of business ownership in which two or more people share the assets, liabilities, and profits.

Characteristics:

Limited life:

The life of a partnership may be established as a certain number of years by the agreement.

Mutual agency

In a partnership, the partners are agents for the partnership. As such, one partner may legally bind the partnership to a contract or agreement that appears to be in line with the partnership's operations.

Unlimited liability

Partners may be called on to use their personal assets to satisfy partnership debts when the partnership cannot meet its obligations.

Ease of formation

Other than registration of the business, a partnership has few requirements to be formed

Transfer of ownership

Although it is relatively easy to dissolve a partnership, the transfer of ownership, whether to a new or existing partner, requires approval of the remaining partners.

Management structure and operations

In most partnerships, the partners are involved in operating the business.

Relative Lack of regulation

Most governmental regulations and reporting requirements are written for corporations

Number of partners

The informality of decision making in a partnership tends to work well with a small number of partners.

The advantages and disadvantages of Partnership.

Advantages:

- Shared decision making and management responsibilities.
- Easier to raise capital than in a sole proprietorship.
- Few government regulations.
- Business losses are shared by all partners.

Disadvantages:

- Partnerships may lead to disagreements.
- Some entrepreneurs are not willing to share responsibilities and profits.
- Secrecy may not be maintained.
- Power get distributed.
- Profit distributed.

Difference between Sole Proprietorship and Partnership form of Business Ownership.

Sole Proprietorship	Partnership
Definition	
It is a business model where an individual is an owner as well as the operator of the business.	It is a business model where two or more persons agree to carry on business and share profits and losses mutually.
Business act	
Comes under no specific act	Governed by the Indian Partnership Act, 1932
Owner called as	
Sole Proprietor	Individual members known as partners and collectively known as a firm.

Incorporation Required	
Not required	Voluntary
Minimum Members	
One	Two
Maximum Members	
Only One	100
Freedom to operate	
Decision-making rests with the proprietor only, hence full freedom to operate.	The decision needs to be mutually acceptable to all partners. A difference of opinion can arise and cause loss of business.
Liability	
Rests with the proprietor only	Shared by partners of the firm
Finance	
Scope of raising capital is limited.	Scope of raising capital is relatively high.

The different stages of Formation of Company in detail.

For convenience the whole process of company formation may be divided into the following four stages:

1.	<i>Promotion</i>	<i>Stage</i>
2.	<i>Incorporation or Registration</i>	<i>Stage</i>
3.	<i>Capital Subscription</i>	<i>Stage</i>
4. <i>Commencement of Business Stage.</i>		

Stage 1: Promotion Stage:

Promotion is the first stage in the formation of a company. The term 'Promotion' refers to the aggregate of activities designed to bring into being an enterprise to operate a business. It presupposes the technical processing of a commercial proposition with reference to its potential profitability. The meaning of promotion and the steps to be taken in promoting a business are discussed in brief here. Promotion of a company refers to the sum total of the activities of all those who participate in the building of the enterprise upto the organisation of the company

and completion of the plan to exploit the idea. It begins with the serious consideration given to the ideas on which the business is to be based.

Stage 2. Incorporation or Registration Stage:

Incorporation or registration is the second stage in the formation of a company. It is the registration that brings a company into existence. A company is properly constituted only when it is duly registered under the Act and a Certificate of Incorporation has been obtained from the Registrar of Companies.

Procedure to Get a Company Registered:

In order to get a company registered or incorporated, the following procedure is to be adopted:

(A) Preliminary Activities:

Before a company is incorporated, the promoter has to take decision regarding the following:

1. To decide the name of the company
2. Licence under Industries Development and Regulation Act, 1951

(B) Filing of Document with the Registrar:

1. Memorandum of Association
2. Articles of Association
3. List of directors
4. Written consent of directors
5. Statutory declaration

Certificate of Incorporation:

On the registration of memorandum and other documents, the Registrar will issue a certificate known as the Certificate of Incorporation certifying under his hand that the company is incorporated and, in the case of a limited company that the company is limited.

Effects of Incorporation:

The certificate of incorporation is conclusive evidence of the fact that:

- (i) The company is properly incorporated and duly registered;
- (ii) The terms of the Memorandum and Articles are within the law;

- (iii) All requirements of the Act in respect of registration have been complied with;
- (iv) A private company can start its business after getting the certificate of incorporation; and
- (v) With the issue of certificate, the company takes birth with a separate legal entity.

Stage 3. Capital Subscription Stage:

A private company or a public company not having share capital can commence business immediately on its incorporation. As such 'capital subscription stage' and 'commencement of business stage' are relevant only in the case of a public company having a share capital. Such a company has to pass through these additional two stages before it can commence business.

Under the capital subscription stage comes the task of obtaining the necessary capital for the company.

For this purpose, soon after the incorporation, a meeting of the Board of Directors is convened to deal with the following business:

1. Appointment of the Secretary. In most cases the appointment of a pre-tem secretary (who is appointed at the promotion stage) is confirmed.
2. Appointment of bankers, auditors, solicitors and brokers etc.
3. Adoption of draft 'prospectus' or 'statement in lieu of prospectus'.
4. Adoption of underwriting contract, if any.

Besides the above mentioned business, the Board also decides as to whether:

- (i) a public offer for capital subscription is to be made, and
- (ii) Listing of shares at a stock exchange is to be secured.

The company will now proceed to obtain the permission of the Controller of Capital Issue, New Delhi, under the Capital Issue Control Act, 1947 if a public offer for sale of shares and debentures exceeding Rs. one crore is to be made during a period of 12 months, unless the issue fulfils the conditions of exemption as laid down in the Capital Issue (Exemption) Order, 1969.

The Capital Issue Control Act, 1947 however, does not apply to a private company, a banking company, an insurance company, and a government company provided it does not make an issue of securities to the general public.

Commencement of Business Stage:

After getting the certificate of incorporation, a private company can start its business. A public company can start its business only after getting a 'certificate of commencement of business'.

After getting the certificate of incorporation:

- (i) A public company issues a prospectus of inviting the public to subscribe to its share capital,
- (ii) A minimum subscription is fixed, and
- (iii) The company is required to sell a minimum number of shares mentioned in the prospectus.

After making the sale of the required number of shares a certificate is sent to the Registrar stating this fact, along-with a letter from the banks, that it has received application money for such shares.

The Registrar scrutinizes the documents. If he is satisfied, then issues a certificate known as Certificate of Commencement of Business. This is the conclusive evidence of the commencement of the business.

How the Prospectus is being registered under the Registrar of the Company?

Answer:

Prospectus is any Document, Notice, Circular, Advertisement, inviting the money to be raised from the public. It is a device for the public ltd company to collect the capital after its incorporation. When the public company or the promoters of the public company decide that the money should be raised from the public by the way of the invitation for offers to the subscription of the shares or debentures of the company, a document is drawn up which is known as prospectus.

The objective of issuing the prospectus is to let the public know of the establishment of the company, its objects, its prospects, to induce the investors to purchase its shares or debentures.

Section 2(70) of the Companies Act, 2013 defines a prospectus as “A prospectus means any documents described or issued as a prospectus and includes any notices, circular, advertisement, or other documents inviting deposit from the public or documents inviting offer from the public for the subscription of shares or debentures in a company.”

A document shall be called a prospectus if it satisfies following conditions:

- *The document should invite the subscription to public share or debentures, or it should invite deposits*
- *Such an invitation should be made to the public.*
- *The invitation should be made by the company or on the behalf company.*
- *The invitation should relate to shares, debentures or such other instruments.*

Contents of a prospectus:

- *Address of the registered office of the company*
- *Name and address of company secretary, auditors, bankers, underwriters etc.*
- *Dates of the opening and closing of the issue.*
- *Declaration about the issue of allotment letters and refunds within the prescribed time.*
- *A statement by the board of directors about the separate bank account where all monies received out of shares issued are to be transferred.*
- *Details about underwriting of the issue.*
- *Consent of directors, auditors, bankers to the issue, expert's opinion if any.*
- *The authority for the issue and the details of the resolution passed therefore.*
- *Procedure and time schedule for allotment and issue of securities.*
- *Capital structure of the company.*
- *Main objects and present business of the company and its location.*
- *Main object of public offer and terms of the present issue.*

- *Minimum subscription, amount payable by way of premium, issue of shares otherwise than on cash.*
- *Details of directors including their appointment and remuneration.*
- *Disclosure about sources of promoter's contribution.*
- *Particulars relation to management perception of risk factors specific to the project, gestation period of the project, extent of progress made in the project and deadlines for completion of the project.*

Filing of copy with the registrar

As stated under sub-section 4 of section 26 of the Companies Act, 2013, the prospectus is not to be issued by a company or on its behalf unless on or before the date of publication, a copy of the prospectus is delivered to the registrar for registration. The copy should be signed by every person whose name has been mentioned in the prospectus as a director or proposed director or the assigned attorney on his behalf.

Delivery of copy of the prospectus to the registrar

As per section 26(6) of the Companies Act 2013, the prospectus should mention that its copy has been delivered to the registrar on its face. The statement should also mention the document submitted to the registrar along with the copy of the prospectus.

Registration of prospectus

Section 26(7) states about the registration of a prospectus by the registrar. According to this section, when the registrar can register a prospectus when:

- *It fulfils the requirements of this section, i.e., section 26 of the Companies Act, 2013; and*
- *It contains the consent of all the persons named in the prospectus in writing.*

Issue of prospectus after registration

If a prospectus is not issued before 90 days from the date from which a copy was delivered before the registrar, then it is considered to be invalid.

Preference Share? Explain different types of Preference Shares.

Preference shares, more commonly referred to as **preferred stock**, are **shares** of a company's stock with dividends that are paid out to shareholders before common stock dividends are issued

Types of Preference Shares:

1. Cumulative Preference Shares

1. Fixed rate of dividend is guaranteed
2. At the time of inadequate profit, they will not lose anything
3. Arrear will get in subsequent years

2. Non-Cumulative Preference Shares

1. Fixed rate of dividend is guaranteed
2. At the time of inadequate profit, they will not get anything

3. Participating Preference Share

1. Fixed rate of dividend is guaranteed
2. Entitled to share the surplus profit

4. Non-Participating Preference Shares

1. Fixed rate of dividend is guaranteed
2. Does not share the surplus profit

5. Redeemable Preference Shares

1. Shares which a company may repay after a fixed period of time or earlier

6. Irredeemable Preference Shares

1. It do not carry the arrangement for redemption
2. Shares are repayable only at winding up

7. Convertible Preference Shares

1. It can be converted into Equity shares within a certain period

8. Non-Convertible Preference Shares

1. It can not be converted into Equity shares

Difference between Equity and Preference Shares.

Basis of differentiation	Equity shares	Preference Shares
Definition	Also known as ordinary shares. Equity share is the foundation of the company as it raises fund. These cannot be converted to preference shares	Preference shares are the shares which promise the holder a preference over the equity shares. These can be converted to equity shares
Dividend	• Equity shares do not have right to receive dividend • Under this the rate of dividend is fluctuating	• Under preference shares, based on time, cumulative or non-cumulative are entitled for the dividend • Here, the rate of dividend is fixed
Voting rights	Voting rights under general meeting	Do not have any voting rights
Types	These are considered as ordinary shares and thus they do not have any types	These come in various types like: • Convertible and non-convertible • Cumulative and non cumulative

Basis of differentiation	Equity shares	Preference Shares
		• Non participatory, etc.
Liquidation	During liquidation, shareholders will have residual right over the asset even after the repayment to preference shares of the company	The shareholders will have first right after the repayment
Participation rights	They are primarily responsible for the management of the company	Do not have any participation rights in the company's management

The need for reformed engineering serving at the Union and State level.

To learn more than one discipline: Various streams of engineering are becoming more interdisciplinary. To solve the problems in future will need sufficient understanding of more than one area and the same would be true for mechanical, civil and other engineering areas, as good designs will need integrated understanding of user, society, environment etc.

Need for new skills: As more focus is on self-reliance under the umbrella of "Atmanirbhar", it will invariably mean a greater focus on the manufacturing sector and developing indigenous technologies and solutions.

India as a land of opportunity: With the development of a vibrant start-up ecosystem in the country, students are more opting for entrepreneurial ambitions so the necessary skills and training should be imparted to the students for the said career.

Need to move to a Research Ecosystem: There is a need to have a vibrant corporate research ecosystem to motivate the students for further research

work as it is a more services driven industry and customer centric market so more innovations and creativity is the key to the success.

Joint Stock Company and its characteristics.

A joint-stock company is a business owned by its investors, with each investor owning a share based on the amount of stock purchased.

Joint-stock companies are created in order to finance endeavors that are too expensive for an individual or even a government to fund. The owners of a joint-stock company expect to share in its profits.

Characteristics:

1. **Separate Legal Entity:** A joint stock company is an individual legal entity, apart from the persons involved. It can own assets and can because it is an entity it can sue or can be sued.
2. **Perpetual :** Once a firm is born, it can only be dissolved by the functioning of law. So, company life is not affected even if its members keep changing.
3. **Number of Members:** For a public limited company, there can be an unlimited number of members but minimum being seven. For a private limited company, only two members. In general, a partnership firm cannot have more than 10 members in one business.
4. **Limited Liability:** In this type of company, the liability of the company's shareholders is limited. However, no member can liquidate the personal assets to pay the debts of a firm.
5. **Transferable share :** A company's shareholder without consulting can transfer his shares to others. Whereas, in a partnership firm without any approval of other partners, a partner cannot move his share.
6. **Incorporation:** For a firm to be accepted as an individual legal entity, it has to be incorporated. So, it is compulsory to register a firm under a joint stock company.

The problem of Alienation and Secessionism in few states creating hurdles in Industrial development.

The Northeast region of India comprising of eight states – Assam, Nagaland, Manipur, Arunachal Pradesh, Mizoram, Tripura and Sikkim. North East India is a region poorly connected to the Indian mainland by a small corridor –

Siliguri Corridor with a narrow width of only 23 kilometres. North Eastern India has been facing problems of Alienation and Secessionism for near 5 decades, but things are now settling down and peace started to prevail. Nagaland, Manipur, Assam and Tripura had been witnessing conflict since 1950-60 period, but since 1990, the intensity of conflicts started to decrease. Now the only state where prominent Alienation and Secessionism exist is Manipur. But in this region several armed factions operate. Some groups call for a separate state, others for regional autonomy while some extreme groups demand complete independence.

Reasons for Problem of Alienation and Secessionism North East India:

- Historical reasons – loosely administered under British India.
- Tensions between these states and the central government.
- Tensions between tribal people, who are natives of these states, and migrant peoples from other parts of India.
- Geographical reasons – not well connected with present Indian mainland.
- Developmental reasons – Poorly developed due to lack of fund from Centre/States.
- Environmental reasons.
- Military reasons – AFSPA (Armed Forces Special Power Act).
- Foreign Policy – Look easy policy and market changes brought.
- External support – China and Myanmar.

Problems of Alienation and Secessionism in North East India creating hurdles in Industrial development.

- Security situation in the region has improved considerably in Assam and Meghalaya in particular facilitating conducive atmosphere for investment and development. The Northeast Industrial Policy initiated by the Government of India further contributed in encouraging investment and industries in the region.
- However, the Northeast will not attract big industries because the region is resource deficit, and does not have economies of scale to match. Moreover, the security situation in the whole of the region has not improved uniformly.

- The North East Council (NEC) and the Ministry for the Development of the North East Region (DoNER) have become fund disbursing agencies instead of strategic planning agencies. At present approximately Rs. 11,000 crores are lying idle with the Ministry of DoNER.

Recommendations to solve North East India Industrial Developmental Problems:

- The Ministry of the Development of the North East region (DoNER) be merged with the North East Council (NEC) for better strategic planning and coordination of various developmental projects in the region.
- Focus of the Ministry of DoNER and NEC should be on investment in mega-projects which will make big difference to the development of the region.
- Institutional capacities in the North east should be developed urgently.
- Pragmatic land use policy should be formulated for attracting industries in the region. Micro, small and medium enterprises should be encouraged.
- Local tourism should be promoted. Tourists residing in the eight North Eastern states should be encouraged to travel within the region.
- Niche tourism or high-end tourism should be encouraged. Medical and higher education tourism should be encouraged.
- The North east should become a single economic unit without disturbing the political boundaries of the states. No internal traffic barriers in the region. Exclusive five-year plan for the North east focusing on development of infrastructure.
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The role of I.T. professionals in Judiciary?

Role of IT Professionals in Judiciary:

Extensive use of Information Technology by diverse organizations the world over has resulted in enhanced efficiency, effectiveness and optimal use of resources. Computers as well as electronic communication devices such as

facsimile machines, electronic mail, video conferencing, provide the ability to process large volumes of data with speed and accuracy, exchange of useful information between different locations and support a higher quality of decision making. These capabilities have contributed to more efficient and responsive systems not only in business organizations but also in legal, governmental and other public systems.

While the Information Revolution arrived in India some years ago, automation has not transformed all facets of life in equal measure. It has not permeated to the Subordinate judiciary, in particular, resulting in old work methods based on manual systems being continued even now. The enormous problems being faced by the judiciary due to arrears, backlogs, and delays can be partly resolved by the introduction of automation in subordinate courts.

The problems faced by courts, judiciary, and public seeking justice in terms of backlogs, delays and expense are well known. While there are many dimensions to these problems, improvements in operational efficiency, coordination, accessibility and speed which IT could bring about can contribute significantly towards improvement and alleviation of difficulties.

However, the present pace of development, particularly at the subordinate court level is too slow and is unlikely to have the desired impact in the near future. Massive problems need appropriately large commitments and major initiatives if a significant dent is to be made.

Most of the bottlenecks identified by Judicial Commissions and Committees referring to delays, arrears and backlog be partly overcome if a sound judicial management information system is introduced in India. Case Management, File Management, and Docket Management will be vastly improved by resorting to the use of computers. In particular, the following are areas where the use of computers will result in enhanced productivity and reduction of delays.

- Legal Information Data Bases.
- On line query system for precedents, citations, codes, statutes etc.

- Generation of Cause List and online statistical reports.
- Online Caveat matching.
- Online updating of data, monitoring and "flagging" of events.
- Pooling of orders and judgments.
- Daily List generation with historical data of each case.
- Word processing with standard templates including generation of notices/processes.
- Access to international databases.
- Feedback reports for use of various levels
- **The different modes of Winding-up of a company in detail.**
- As per section 270 of the Companies Act 2013, the procedure for winding up of a company can be initiated either:
 - *a) By the tribunal or,*
 - *b) Voluntary.*
- **Winding up by the tribunal:**
- As per new Companies Act 2013, a company can be wound up by a tribunal in the below mentioned circumstances:
 1. When the company is unable to pay its debts
 2. If the company has by special resolution resolved that the company be wound up by the tribunal.
 3. If the company has acted against the interest of the integrity or morality of India,
 4. If the company has not filled its financial statements or annual returns for preceding 5 consecutive financial years.
 5. If the tribunal by any means finds that it is just & equitable that the company should be wound up.
 6. If the company in any way is indulged in fraudulent activities or any other unlawful business, or any person or management connected with the formation of company is found guilty of fraud, or any kind of misconduct state, or has spoiled any kind of friendly relations with foreign or neighbouring countries.
- **Voluntary winding up of a company**
- Voluntary winding up of a company: The company can be wound up voluntarily by the mutual decision of members of the company, if:

- a) The company passes a Special Resolution stating about the winding up of the company.
- b) The company in its general meeting passes a resolution for winding up as a result of expiry of the period of its duration as fixed by its Articles of Association or at the occurrence of any such event where the articles provide for dissolution of company.

- **The Duties and Rights of an Auditor.**

- The auditor shall make a report to the members of the company on the accounts examined by him and on every financial statements which are required by or under this Act to be laid before the company in general meeting. The auditor's report shall also state—
 - 1. Whether he has sought and obtained all the information and explanations which to the best of his knowledge and belief were necessary for the purpose of his audit and if not, the details thereof and the effect of such information on the financial statements;
 - 2. Whether, in his opinion, proper books of account as required by law have been kept by the company so far as appears from his examination of those books and proper returns adequate for the purposes of his audit have been received from branches not visited by him;
 - 3. Whether the report on the accounts of any branch office of the company audited by a person other than the company's auditor has been sent to him under the proviso to that subsection and the manner in which he has dealt with it in preparing his report;
 - 4. Whether the company's balance sheet and profit and loss account dealt with in the report are in agreement with the books of account and returns;
 - 5. Whether, in his opinion, the financial statements comply with the accounting standards
 - 6. The observations or comments of the auditors on financial transactions or matters which have any adverse effect on the functioning of the company;
 - 7. Whether any director is disqualified from being appointed as a director
 - 8. Any qualification, reservation or adverse remark relating to the maintenance of accounts and other matters connected therewith;

- 9. Whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;

How is the Appointment or Re-appointment of an Auditor

Appointing an Auditor

The Companies Act has not defined casual vacancy. But one can say that casual vacancy for an auditor arises due to disqualification, resignation, death, etc.

- The Auditor that is selected must possess necessary eligibility, should fulfill the prescribed conditions and should not be disqualified for appointment under the Companies Act, 2013, the Chartered Accountants Act, 1949 and the rules and regulations made thereunder.
- Other than the companies required to constitute an Audit Committee under Section 177 of the Companies Act, every company in their first annual general meeting (“AGM”) needs to appoint an individual or a firm as an Auditor who will hold office from that meeting till the conclusion of the sixth AGM.
- After making the appointment, the Auditor concerned has to be informed of the resolution and a notice of such appointment needs to be filed with the Registrar in Form ADT-1 within fifteen (15) days from the date of making such appointment.

Re-Appointment of Auditor

Subject to the maximum tenure of appointment which is for two terms of 5 years each, a retiring auditor may be re-appointed by complying with the provisions of section 139(9) which states that subject to the provisions of sub-section (1) Section 139 & the rules made thereunder, a retiring auditor may be re-appointed at an annual general meeting, if:

- He is not disqualified for re-appointment.
- He has not given the company a notice in writing of his unwillingness to be re-appointed

- A special resolution has not been passed appointing some other auditor or providing expressly that he shall not be re-appointed.

Differentiate between Memorandum of Association and Article of Association.

Answer:

Basis for Comparison	Memorandum of Association	Articles of Association
Meaning	Memorandum of Association is a document that contains all the conditions which are required for the registration of the company.	Articles of Association is a document that contains the rules and regulation for the administration of the company.
Defined in	Memorandum of Association is defined in section 2 (56) of the Indian Companies Act 1956.	The Articles of Association is defined in section 2 (5) of the Indian Companies Act 1956.
Type of Information contained	Powers and objects of the company.	Rules of the company.
Status	It is subordinate to the Companies Act	It is subordinate to the memorandum
Retrospective Effect	The memorandum of association of the company cannot be amended retrospectively	The articles of association can be amended retrospectively.
Major contents	A memorandum must contain six clauses.	The articles can be drafted as per the choice of the company.
Obligatory	Yes, for all companies.	A public company limited by shares can adopt Table A in place of articles.
Compulsory filing at the time of Registration	Required	Not required at all
Relation	Defines the relation between company and outsider.	Regulates the relationship between company and its

		members and also between the members inter se.
Acts done beyond the scope	Absolutely void	Can be ratified by shareholders

The content of Prospectus.

Prospectus meaning

1. The prospectus is a legal document, which outlines the company's financial securities for sale to the investors.
2. According to the companies act 2013, there are four types of the prospectus, abridged prospectus, deemed prospectus, red herring prospectus, and shelf prospectus.

Prospectus Definition

The prospectus is a legal document for market participants and investors to pursue, detailing the features, prospects, and promise of a financial product.

It is mandated by the law to be supplied to prospective customers. prospectus and its contents?

The prospectus contents are specified in the Companies Act. The prospectus must touch over the following content points:

1. Details of the company, such as name, registered office address, and objects
2. Details of signatories to the Memorandum and their shareholding particulars
3. Details of the directors
4. Details of shares offered and the class of the issue as well as voting rights
5. Minimum subscription amount

6. The amount payable on application, on allotment, and on further calls
7. Underwriters of the issue
8. Auditors of the company
9. Audited reports regarding profit and losses of the company

The Article of Association, Different provisions in Articles of Association-

Article of Association

Articles of Association is an important document of a Joint Stock Company. It contains the rules and regulations or bye-laws of the company. They are related to the internal working or management of the company.

It plays a very important role in the affairs of a company. It deals with the rights of the members of the company between themselves.

Contents of Articles of Association

The articles generally deal with the following

1. Classes of shares, their values and the rights attached to each of them.
2. Calls on shares, transfer of shares, forfeiture, conversion of shares and alteration of capital.
3. Directors, their appointment, powers, duties etc.
4. Meetings and minutes, notices etc.
5. Accounts and Audit
6. Appointment of and remuneration to Auditors.
7. Voting, poll, proxy etc.
8. Dividends and Reserves
9. Procedure for winding up.
10. Borrowing powers of Board of Directors and managers etc.
11. Minimum subscription.
12. Rules regarding use and custody of common seals.
13. Rules and regulations regarding conversion of fully paid shares into stock.
14. Lien on shares.

Prospectus

A prospectus is an invitation from a company to the general public informing about availability to purchase or subscribe shares and debentures issued by the company. IPO also known as Initial Public Offering and is a source of raising of

funds from the public. But, in case of a private company, there is no need to file a prospectus as private companies are restricted from issuing IPO. A prospectus can be required if the aim is to generate funds from the public. Private companies are not required to file a prospectus.

Types of Prospectus

- Deemed Prospectus - As per Section 25(1) of the Companies Act, 2013, a document will be deemed to be a prospectus if the company agrees to allot or offer securities to the public.
- Abridged Prospectus - It is defined as the brief summary of the prospectus, which includes all useful and materialistic information filed before the registrar. As per Section 33(1) of the Companies Act, 2013, an abridged prospectus must be included with the documents for the purchase of securities issued by a company.
- Red Herring Prospectus - It is the prospectus that is required to be filed before the registrar prior to the offer. The prospectus generally lacks information such as the particular price or quantum of securities being offered.
- Shelf Prospectus - It is defined as the prospectus issued by a company, bank or financial institution for more than one class of securities.

Contents of Prospectus

The prospectus must touch over the following content points:

- Details of the company, such as name, registered office address, and objects
- Details of signatories to the Memorandum and their shareholding particulars
- Details of the directors
- Details of shares offered and the class of the issue as well as voting rights
- Minimum subscription amount
- The amount payable on application, on allotment, and on further calls
- Underwriters of the issue (Underwriting is an act of guarantee by a company for the sale of a certain minimum number of shares and debentures issued by a Public Limited company.)
- Auditors of the company
- Audited reports regarded profit and losses of the company